

Granules Pharmaceuticals, Inc.

Financial Statements

March 31, 2022 and March 31, 2021

KNAV P.A.

Certified Public Accountants
One Lakeside Commons, Suite 850,
990 Hammond Drive NE, Atlanta, GA 30328



America Counts on CPAs

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Independent Accountant's Review Report

To Board of Directors,
Granules Pharmaceuticals Inc.

We have reviewed the accompanying financial statements of Granules Pharmaceuticals Inc. ('the Company'), which comprise of balance sheets as at March 31, 2022 and March 31, 2021, and the related statements of income, stockholder's equity and cash flows for the years then ended. A review includes primarily applying analytical procedures to management's financial data and making inquiries of company management. A review is substantially less in scope than an audit, the objective of which is the expression of an opinion regarding the financial statements as a whole. Accordingly, we do not express such an opinion.

Management's responsibility for the financial statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement whether due to fraud or error.

Accountant's responsibility

Our responsibility is to conduct the review engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. Those standards require us to perform procedures to obtain limited assurance as a basis for reporting whether we are aware of any material modifications that should be made to the financial statements for them to be in accordance with accounting principles generally accepted in the United States of America. We believe that the results of our procedures provide a reasonable basis for our conclusion.

We are required to be independent of Granules Pharmaceuticals, Inc, and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements to our review.

Accountant's conclusion

Based on our review, we are not aware of any material modifications that should be made to the accompanying financial statements in order for them to be in accordance with accounting principles generally accepted in the United States of America.

KNAV P.A.

Atlanta, Georgia
June 22, 2022

KNAV P.A.

Certified Public Accountants

One Lakeside Commons, Suite 850, 990 Hammond Drive NE, Atlanta, GA 30328 T 1 678 584 1200 F 1 770 676 6082 E admin@knavcpa.com

Financial Statements

Balance sheets

(All amounts are in United State Dollars, unless otherwise stated)

ASSETS

Current assets

Cash and cash equivalents	2,190,956	350,889
Accounts receivable, net	16,980,688	9,918,874
Inventories	52,150,931	45,687,056
Prepaid expenses and other current assets	1,235,357	1,087,371
Loan receivable	952,382	1,321,881
Total current assets	73,510,314	58,366,071

Property, plant & equipment, net	33,037,080	29,554,285
Intangible assets, net	236,804	5,247
Investment	2,481,847	2,481,847
Deferred tax assets, net	5,512,997	7,359,706
Other assets	362,097	317,330
Loan receivable	392,630	133,151
Total assets	115,533,769	98,217,637

LIABILITIES AND STOCKHOLDER'S EQUITY

Current liabilities

Accounts payable	2,571,058	3,274,399
Due from related parties	41,143,242	28,743,240
Other current liabilities	3,095,214	1,999,363
Total liabilities	46,809,514	34,017,002

Stockholder's equity

Common stock	4,183	4,180
Additional paid in capital	81,617,917	82,562,042
Accumulated deficit	(12,897,845)	(18,365,587)
Total stockholder's equity	68,724,255	64,200,635

Total liabilities and stockholder's equity	115,533,769	98,217,637
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(The accompanying notes are an integral part of these financial statements)

(See independent accountant's review report)

Statements of income

(All amounts are in United States Dollars, unless otherwise stated)

	Year ended	
	March 31, 2022	March 31, 2021
Revenue from operations	126,519,302	68,291,985
Less: Cost of revenues	85,701,254	36,516,755
Gross profit	40,818,048	31,775,230
Operating cost and expenses		
Research and development expenses	4,919,219	5,139,008
Selling, general and administrative expenses	26,552,249	15,632,072
Depreciation and amortization	1,791,636	2,449,948
Total operating cost and expenses	33,263,104	23,221,028
Operating profit	7,554,944	8,554,202
Other income (expense)		
Loss on sale of assets	-	(3,246)
Interest expenses	(32,377)	(193,285)
Interest income	97,365	101,904
Other income	32,244	1,491,592
Profit before taxes	7,652,176	9,951,167
Income tax expense		
Current tax expense (benefit)	337,726	(15,009)
Deferred tax expense	1,846,708	1,781,305
Net profit	5,467,742	8,184,871

(The accompanying notes are an integral part of these financial statements)

(See independent accountant's review report)

Statements of stockholder's equity

(All amounts are in United States Dollars, except number of shares)

Particulars	Common stock		Additional paid in capital	Accumulated deficit	Total stockholder's equity
	Shares	Amount			
Balance as at April 01, 2020	3,751	3,751	66,225,981	(26,550,458)	39,679,274
Issuance of shares	429	429	15,999,571	-	16,000,000
Stock-based compensation cost	-	-	336,490	-	336,490
Net profit for the year	-	-	-	8,184,871	8,184,871
Balance as at March 31, 2021	4,180	4,180	82,562,042	(18,365,587)	64,200,635
Balance as at April 01, 2021	4,180	4,180	82,562,042	(18,365,587)	64,200,635
Issuance of shares	3	3	65,430	-	65,433
Stock-based compensation cost	-	-	55,323	-	55,323
Stock-based award modification	-	-	(1,064,878)	-	(1,064,878)
Net profit for the year	-	-	-	5,467,742	5,467,742
Balance as at March 31, 2022	4,183	4,183	81,617,917	(12,897,845)	68,724,255

(The accompanying notes are an integral part of these financial statements)

(See independent accountant's review report)

Statements of cash flows

(All amounts are in United States Dollars, unless otherwise stated)

	Year ended	
	March 31, 2022	March 31, 2021
Cash flow from operating activities		
Net profit after taxes	5,467,742	8,184,871
Adjustments to reconcile net profit to net cash used in operating activities		
Depreciation and amortization expenses	1,791,636	2,449,948
Deferred tax expense	1,846,708	1,781,305
Stock-based compensation cost (reversal)	55,323	336,490
Loss on sale of assets	-	3,246
Capital work-in-progress written off	-	100,000
Changes in current assets and current liabilities		
Accounts receivable, net	(7,061,814)	6,026,501
Inventories	(6,463,875)	(35,460,614)
Prepaid expenses and other current assets	(147,986)	(209,689)
Accounts payable	(703,340)	(304,762)
Due to related parties	12,400,002	23,249,820
Other non-current assets	(44,766)	(333,624)
Other current liabilities	30,973	(1,238,902)
Net cash provided by operating activities	7,170,603	4,584,590
Cash flow from investing activities		
Purchase of property and equipment and capital work in progress	(5,269,184)	(5,092,406)
Proceeds from sale of assets	-	43,000
Purchase of intangible assets	(236,804)	-
Repayment of loans	110,019	-
Net cash used in investing activities	(5,395,969)	(5,049,406)
Cash flow from financing activities		
Proceeds from issuance of shares	65,433	-
Proceeds from loan from bank	6,000,000	9,000,000
Repayment of loan from bank	(6,000,000)	(9,000,000)
Net cash provided by financing activities	65,433	-
Net (decrease) increase in cash and cash equivalents during the year	1,840,067	(464,816)
Cash and cash equivalents at the beginning of the year	350,889	815,705
Cash and cash equivalents at the end of the year	2,190,956	350,889
Supplemental cash flow information		
Income tax paid	129,418	373,362
Conversion of loan to common stock	-	16,000,000

(The accompanying notes are an integral part of these financial statements)

(See independent accountant's review report)

Notes to Financial Statements

(All amounts are in United State Dollars, unless otherwise stated)

NOTE A - NATURE OF OPERATIONS

Granules Pharmaceuticals, Inc ("GPI" the "Company") was incorporated in Delaware on October 21, 2014. The Company is a wholly owned subsidiary of Granules India Limited, a company incorporated in India. The Company focuses on research & development and manufacturing & distribution of pharmaceutical formulations and contract research services for others.

NOTE B - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A summary of the significant accounting policies applied in the preparation of the accompanying financial statements are as follows:

1. Basis of preparation

- a. The accompanying financial statements are prepared under the historical cost convention on the accrual basis of accounting in accordance with the accounting and reporting requirements of generally accepted accounting principles in the United States ("US GAAP") to reflect the financial position, results of operations and cash flows of the Company.
- b. All amounts are stated in United States dollars, except as otherwise specified.
- c. These financial statements are presented for the year ended March 31, 2022 and March 31, 2021.

2. Estimates and assumptions

The preparation of financial statements and related disclosures in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and revenues and expenses during the period reported. Actual results could differ from those estimates. Significant items subject to such estimates and assumptions include the useful lives of property and equipment, allowances for doubtful accounts, recognition of deferred tax assets, amortization period of intangibles, valuation of inventories and investments, provision for employee benefit obligations, and other contingencies. The estimates are made using historical information and other relevant factors available to management. Management believes that the estimates used in the preparation of the financial statements are prudent and reasonable. Actual results could differ from these estimates. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Any revision in an accounting estimate are recognized prospectively in the current and future period.

3. Cash and cash equivalents

The Company considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents. The carrying value of cash and cash equivalents approximates fair value because of the short maturities of those financial instruments. The Company believes it is not exposed to any significant risk on cash and cash equivalents.

4. Accounts receivable & allowance for doubtful accounts

Accounts receivable are recorded at the invoiced amount and do not bear interest. The Company maintains an allowance for doubtful accounts for estimated losses inherent in its accounts receivable portfolio. In establishing the required allowance, management considers historical losses adjusted to take into account current market conditions and the customers' financial condition, the amounts of receivables in dispute, and the current receivables ageing and current payment patterns. The Company reviews its allowance for doubtful accounts monthly. Past due balances over 180 days and over a specified amount are reviewed individually for collectability. Allowance for doubtful accounts is included in marketing and selling expenses in the statement of income. The Company charges off uncollectable amounts against the reserves in the period in which it determines they are uncollectable.

5. Property, plant and equipment

Property, plant & equipment are stated at cost less accumulated depreciation and impairment. Cost of items of property and equipment comprises cost of purchase and other costs necessarily incurred to bring it to the condition and location necessary for its intended use.

The Company depreciates property, plant & equipment over the estimated useful life using the straight-line method. Expenditures for maintenance and repairs are charged to expense. Upon retirement or disposal of assets, the cost and accumulated depreciation are eliminated from the accounts and the resulting gain or loss is credited to statements of income.

The estimated useful lives used to determine depreciation are:

Nature of assets	Estimated useful life of assets
Furniture and fixtures	3 to 7 years
Computers	3 to 5 years
Equipment	3 to 7 years
Building	39 years
Vehicles	5 years
Improvements	15 years

6. Intangible assets

The Company amortizes intangible assets over their estimated useful lives unless such lives are determined to be indefinite. Amortizable intangible assets are amortized over their estimated useful lives in proportion to the economic benefits consumed in each period. Intangible assets with indefinite lives are tested at least annually for impairment and written down to the fair value as required.

Nature of assets	Estimated useful life of assets
Marketing licenses	15 years
Software	3 to 5 years

7. Impairment of long-lived assets

Long-lived assets, including certain identifiable intangible assets, to be held and used are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of such assets may not be recoverable. Such assets are considered to be impaired if the carrying amount of the assets is higher than the future undiscounted net cash flows expected to be generated from the assets. The impairment amount to be recognized is measured by the amount by which the carrying value of the assets exceeds its fair value.

8. Revenue recognition

Revenue is recognized when obligations under the terms of a contract with a customer are satisfied; generally, this occurs with the transfer of control of the Company's products or services. The Company's payment terms are typically between 60-90 days. Revenue is measured as the amount of consideration the Company expects to receive in exchange for transferring goods or providing services. A performance obligation is a promise in a contract to transfer a distinct good or service to the customer and is the unit of account in the contract. A contract's transaction price is allocated to each distinct performance obligation and recognized as revenue when, or as, the performance obligation is satisfied. Some of the Company's contracts have multiple performance obligations.

The majority of the Company's performance obligations are satisfied at a point in time. This includes sales of the Company's broad portfolio of active pharmaceutical ingredients ("API") and other dosage forms. For a majority of these sales, the Company's performance obligation is satisfied upon dispatch or delivery of goods to the customer. Shipping and handling activities are considered to be fulfillment activities and are not considered to be a separate performance obligation.

Significant judgments

Revenues from product sales are recorded at the net sales price (transaction price), which includes estimates of variable consideration for reserves related to rebates, product returns, sales discounts, and wholesaler chargebacks. These reserves are based on estimates of the amounts earned or to be claimed on the related sales and are included in accounts receivable as contra accounts to the respective accounts receivable balances. Management's estimates take into consideration historical experience, current contractual and statutory requirements, specific known market events and trends, industry data, and forecasted customer buying and payment patterns. Overall, these reserves reflect the Company's best estimates of the amount of consideration to which it is entitled based on the terms of the contract using the expected value method. The amount of variable consideration included in the net sales price is limited to the amount that is probable not to result in a significant reversal in the amount of the cumulative revenue recognized in a future period.

9. Research and development

Expenditures for research and development are expensed as incurred and include salaries, benefits, and other employee-related costs, clinical trial and related clinical manufacturing costs, pharmaceutical supplies and other outside service fees and facilities and overhead costs.

10. Income taxes

Income taxes are accounted for under the asset and liability method. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statements carrying amounts of existing assets and liabilities and their respective tax bases and operating loss and tax credit carryforwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the enactment date. A valuation allowance is recorded for deferred tax assets if it is more likely than not that some portion or all of the deferred tax assets will not be realized. All deferred tax assets and liabilities, along with any related valuation allowance, is classified as non-current on the balance sheets.

The Company recognizes liabilities for uncertain tax positions based on a two-step process. The first step is to evaluate the tax position for recognition by determining if the weight of available evidence indicates it is more likely than not that the position will be sustained on audit, including resolution of related appeals or litigation processes, if any. The second step is to measure the tax benefit as the largest amount which is more than 50% likely of being realized upon ultimate settlement. The Company recognizes interest and penalties related to uncertain tax positions within the provision for income taxes.

11. Commitments and contingencies

Liabilities for loss contingencies arising from claims, assessments, litigations, fines, penalties, and other sources are recorded when it is probable that a liability has been incurred and the amount can be reasonably estimated. Legal costs incurred in connection with loss contingencies are expensed as incurred. Contingent liabilities are not recognized but disclosed in notes. Contingent assets are neither recognized nor disclosed.

12. Retirement and employee benefits

Contribution to defined contribution plans are charged to statements of income in the year in which they accrue.

13. Stock-based compensation

The Company accounts for stock-based compensation expense relating to stock options that have been issued by the Company to the employees. The Company computes the fair value of options granted using the Black Scholes option pricing model. An amount equal to such compensation expense for the year is credited to additional paid in capital of the Company.

The Company has used guidance in Accounting Standard Codification (“ASC”) 718; “Compensation-Stock Compensation” to account for employee share-based payments. ASC 718 requires share-based payments to employees, including grants of employee stock options and purchases under employee stock purchase plans, to be recognized in statements of operations based on their fair values.

In accordance with ASC 718, the Company recognized stock-based compensation for awards granted, that the Company expects to vest on a straight-line basis over the requisite service period of the awards. In respect of awards that have graded vesting, the Company recognizes compensation expense over the service period for each separately vesting tranche of the award as though the award were in substance, multiple awards. In determining whether an award is expected to vest, the Company uses an estimated forfeiture rate based on historical rates. The estimated forfeiture rate is updated for actual forfeitures annually.

14. Investments

The Company elected to measure equity security without a readily determinable fair value that does not qualify for the practical expedient to estimate fair value in accordance with ASC paragraph 821-10-35-59 at its cost minus impairment, if any. Acquisition related expenditure, if any, is expensed in the year of incurring the same.

15. Fair value measurements and financial instruments

Assets and liabilities recorded at fair value in the financial statements are categorized based upon the level of judgment associated with the inputs used to measure their fair value. Hierarchical levels which are directly related to the amount of subjectivity associated with the inputs to the valuation of these assets or liabilities are as follows:

Level 1 – Unadjusted quoted prices in active markets for identical assets or liabilities that the Company has the ability to access as of the measurement date.

Level 2 – Inputs other than quoted prices included within Level 1 that are directly observable for the asset or liability or indirectly observable through corroboration with observable market data.

Level 3 – Unobservable inputs for the asset or liability only used when there is little, if any, market activity for the asset or liability at the measurement date.

This hierarchy requires the Company to use observable market data, when available, and to minimize the use of unobservable inputs when determining fair value. The Company's financial instruments consist of cash and cash equivalents, accounts receivable, loan receivables, accounts payable, short-term borrowings and accrued liabilities. The estimated fair value of cash, accounts receivable, accounts payable, loan receivables, short-term borrowings and accrued liabilities approximate their carrying amounts due to the short-term nature of these instruments. None of these instruments are held for trading purposes.

NOTE C - FINANCIAL INSTRUMENTS AND CONCENTRATION OF CREDIT RISK

Financial instruments that potentially subject the Company to concentrations of credit risk consist principally of cash equivalents, accounts receivable and loan to US Pharma. By their nature, all accounts receivable involve risk including the credit risk of non-performance by counter parties. In management's opinion, as of March 31, 2022 and March 31, 2021, there was no significant risk of loss in the event of non-performance of the counter parties to these cash equivalents and accounts receivable.

Three customers having greater than 10% of accounts receivable (gross) accounted for approximately 81% (previous year ended, three customers for 89%) of total accounts receivable. This is on account of majority of revenue contracts are entered with wholesale customers in the United States of America. One vendor having greater than 10% of accounts payable accounted for 89% (previous year ended, one vendor for 86%) of total accounts payable.

NOTE D - CASH AND CASH EQUIVALENTS

Cash and cash equivalents comprise the following:

	As at	
	March 31, 2022	March 31, 2021
Bank balance	2,190,956	350,889
Total	2,190,956	350,889

Cash balances on deposits with banks in the United States of America are insured by the Federal Deposit Insurance Corporation up to an aggregate of \$250,000.

NOTE E - ACCOUNTS RECEIVABLE, NET

The Company maintains an allowance for doubtful debts on all accounts receivable, based on present and prospective financial condition of the customer and aging of accounts receivable after considering historical experience and the current economic environment. Accounts receivable as at March 31, 2022 and March 31, 2021 are stated net of provision for doubtful accounts and other allowances and includes trade receivables from related parties. Accounts receivable, net, comprise the following:

	As at	
	March 31, 2022	March 31, 2021
Due from customers	48,290,444	41,590,056
Less: provision for chargebacks, rebates, discount and others	(31,309,756)	(31,671,182)
Total	16,980,688	9,918,874

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The activity in provision for charge backs, rebates, discount and others is given below:

	Year ended	
	March 31, 2022	March 31, 2021
Balance at beginning of the year	(31,671,182)	(9,702,412)
Net provision for chargebacks, rebates and others	184,487,647	86,991,469
Chargeback, rebates and others, claimed and utilized	(184,126,221)	(108,960,239)
Balance at the end of the year	(31,309,756)	(31,671,182)

NOTE F - INVENTORIES

Inventories comprise the following:

	As at	
	March 31, 2022	March 31, 2021
Raw material	6,839,594	5,435,443
Packaging material	757,021	309,390
Stores and spares	42,952	42,952
Semi-finished goods	5,007,670	817,004
Finished goods	39,503,694	39,082,265
Total	52,150,931	45,687,056

NOTE G - PREPAID EXPENSES AND OTHER CURRENT ASSETS

Prepaid expenses and other current assets comprise the following:

	As at	
	March 31, 2022	March 31, 2021
Prepaid expenses	759,202	332,016
Advance for materials and services	382,004	729,892
Interest receivable on loan to US Pharma Inc.	94,151	25,463
Total	1,235,357	1,087,371

NOTE H - LOAN RECEIVABLE

	As at	
	March 31, 2022	March 31, 2021
Current	952,382	1,321,881
Non-current	392,630	133,151
Total	1,345,012	1,321,881

The Company advanced a loan to its related party US Pharma. at coupon rate of 7% p.a. for working capital purposes. In the current year ended March 31, 2022, Company earned an interest income amounting to \$. Loan is repayable starting from March 2021 onwards in 12 quarterly instalments ending December 31, 2023. In the current year ended March 31, 2022, Company earned an interest income amounting to \$94,151 (March 31, 2021: \$101,852).

NOTE I - PROPERTY, PLANT AND EQUIPMENT, NET

Property, plant and equipment, net, comprises the following:

	As at	
	March 31, 2022	March 31, 2021
Vehicles	47,457	47,457
Buildings	9,002,088	9,002,088
Computers	514,999	344,097
Furniture & fixtures	219,029	158,027
Improvements	2,774,505	2,756,905
Land	2,609,165	2,609,165
Machinery & equipment	10,163,280	9,510,317
Office equipment	3,265	3,265
Capital work in progress	16,779,124	12,412,407
Total property, plant and equipment	42,112,912	36,843,728
Less: Accumulated depreciation	(9,075,832)	(7,289,443)
Total property, plant and equipment, net	33,037,080	29,554,285

Depreciation expense for the year ended March 31, 2022 and March 31, 2021 was \$ 1,786,389 and \$1,911,070, respectively.

NOTE J - INTANGIBLE ASSETS, NET

Intangible assets, net, comprises the following:

	As at	
	March 31, 2022	March 31, 2021
Market licenses	650,000	650,000
Software	107,050	107,050
Intangibles-in-progress	236,804	-
Intangible assets, net	993,854	757,050
Less: Accumulated amortization	(757,050)	(751,803)
Total	236,804	5,247

Amortization expense for the year ended March 31, 2022 and March 31, 2021 was \$5,247 and \$538,879, respectively.

NOTE K - INVESTMENTS

The Company has investments in US Pharma Inc amounting to \$5,481,847. The Company does not have any significant influence in US Pharma Inc. and is recorded at cost.

Investments comprises the following:

	As at	
	March 31, 2022	March 31, 2021
Investment in US Pharma Inc.	5,481,847	5,481,847
Less: permanent diminution in value (impairment loss)	(3,000,000)	(3,000,000)
Total	2,481,847	2,481,847

The Company records an investment impairment charge, when management believes an investment has experienced a decline in value that is judged to be other than temporary. The Company monitors its investments for impairment by considering current factors including economic environment, market conditions and the operational performance and other specific factors relating to the business underlying the investment. Based on its assessment of its carrying value of investment, the Company impaired the carrying value of its investment in

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US Pharma Inc., and recorded permanent diminution in value in investment amounting to \$3,000,000 in the statement of income for the year ended March 31, 2020. The Company has evaluated the current business operation and the risk and uncertainties involved to determine recoverability of the Company's remaining cost.

NOTE L - OTHER ASSETS

Other assets comprise the following:

	As at	
	March 31, 2022	March 31, 2021
Advance income taxes	291,799	247,032
Other tax assets	70,298	70,298
Total	362,097	317,330

NOTE M - OTHER CURRENT LIABILITIES

Other current liabilities comprise the following:

	As at	
	March 31, 2022	March 31, 2021
Employee benefits	2,169,953	1,102,225
Payroll taxes	31,907	24,616
Other payables and provisions	893,354	872,522
Total	3,095,214	1,999,363

NOTE N - RESEARCH AND DEVELOPMENT EXPENSES

Research and development expenses comprise the following:

	Year ended	
	March 31, 2022	March 31, 2021
Cost of labor	2,225,374	1,614,681
Cost of supplies	1,876,484	2,145,635
Other contract research expenses	817,361	1,378,692
Total	4,919,219	5,139,008

NOTE O - RETIREMENT BENEFITS

The Company has a 401(k) Defined Contribution Plan. Under the plan, each employee can elect to participate after meeting the minimum age requirement and other eligibility requirements set forth in the Adoption Agreement. The Company makes a matching contribution to the plan up to 2% of employee wages for those electing to participate in the plan. The total employer contribution for the year ended March 31, 2022 and March 31, 2021, was \$128,896 and \$117,959, respectively. The 401(k) contribution is charged to expense in the period in which incurred.

NOTE P - STOCK OPTION PLAN

The Company adopted an incentive stock option plan in accordance with section 422 of the Internal Revenue Code (the "Plan"), under which the Company may offer incentive stock options to its employees. Under the Plan, incentive stock options to purchase the Company's common stock may be granted to employees at prices not lower than fair value at the date of grant. Stock options have a maximum term of 10 years to exercise.

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Activity under the Plan to the extent related to employees of the Company is as under:

	-----Options-----		
	Outstanding	Weighted average exercise price	Weighted average remaining contractual life (months)
As at April 01, 2020	228	19,149	16
Granted during the year	-	-	-
As at March 31, 2021	228	19,149	8
As at April 01, 2021	228	19,149	8
Lapsed/Cancelled during the Year	(140)	-	-
Less: Exercised during the year	(6)	-	-
As at March 31, 2022	82	19,149	2
Exercisable at the end of the year	62		

The grant date fair value of options has been estimated using the Black-Scholes single option pricing model. Company has recognized \$55,323 and \$336,490 for the year ended March 31, 2022 and March 31, 2021, respectively.

During the year, the Company replaced Equity Compensation Plan (the "Plan") with the cash bonus program (the "Bonus Program") for certain participants. This modification led to a change in classification of the award from equity to liability. The Company recognized a liability of \$1,064,878 by crediting additional paid in capital.

NOTE Q - INCOME TAXES

The Company files federal and state tax returns as per regulations applicable to Chapter C corporations in the United States. The components of the provision for income taxes are as follows:

	Year ended	
	March 31, 2022	March 31, 2021
Current tax		
Prior year state true-up	270,950	(149,846)
State	66,776	134,837
	337,726	(15,009)
Deferred tax		
Federal	1,569,946	1,585,826
State	276,762	195,479
	1,846,708	1,781,305
Income tax expense	2,184,434	1,766,296

The items accounting for the difference between income taxes computed at the federal statutory rate and the provision for income taxes are as follows:

	Year ended	
	March 31, 2022	March 31, 2021
Income tax at federal rate	1,608,598	2,088,286
State tax, net of federal effect	607,376	205,062
Changes in research and development credit	23,109	(280,857)
Permanent differences	39	(222,470)
Change in valuation allowance	(10,400)	(55,622)
Federal true up	(852,489)	(59,617)
Change in net operating losses	808,201	91,514
Income tax expense	2,184,434	1,766,296

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Deferred income taxes reflect the net tax effects of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of the Company's net deferred income taxes are as follows:

	As at	
	March 31, 2022	March 31, 2021
Deferred tax liability		
- Property, plant and equipment	(902,188)	(965,674)
Total	(902,188)	(965,674)
Deferred tax assets		
- Net operating losses ("NOLs")	3,137,553	5,509,209
- UNICAP 263A	251,432	265,086
- Research credit	2,064,400	2,087,509
- Provision for Medicaid	311,592	143,910
- Provision for sales returns	227,406	122,938
- Accrued bonus	408,935	195,133
- Charitable contributions	1,954	1,595
- Impairment loss	714,873	725,272
- Provision for legal expense	11,913	-
Total	7,130,058	9,050,652
Deferred tax assets, net	6,227,870	8,084,978
Less: valuation allowance	(714,873)	(725,272)
Deferred tax assets, net	5,512,997	7,359,706

Realization of net deferred tax assets is dependent upon generation of sufficient taxable income in future years, benefit from the reversal of taxable temporary differences and tax planning strategies. Management assesses the available positive and negative evidence to estimate whether sufficient future taxable income will be generated to permit use of the existing deferred tax assets. The amount of net deferred tax assets considered realizable is subject to adjustment in future periods if estimates of future taxable income change.

The company owns 9.25% interest in US Pharma. In the year ended March 31, 2020, the management has recorded impairment of loss of \$ 3 Million for the investment in the US Pharma. Since this loss will be treated as capital loss as per IRC 165, the management believes that it is more likely that the deferred tax assets may not be realized during foreseeable future and accordingly, a valuation allowance of \$ 714,873 and \$ 725,272 was recognized as at March 31, 2022 and March 31, 2021, respectively. However, the Company has recognized deferred tax asset of \$5,512,997 and \$7,359,706 as of March 31, 2022, and March 31, 2021 respectively on account of temporary differences arising out for tax purposes. The Company has federal NOLs of \$13,783,327 and \$23,434,941 as at March 31, 2022 and March 31, 2021 respectively. The NOLs generated till 2017-18 which if unutilized will expire by the year 2037 and the NOLs generated after 2018-19 will be carried forward indefinitely. The Company has state net operating loss carryforwards of approximately \$13,783,327 and \$12,402,346 as at March 31, 2022 and March 31, 2021 respectively, which if unutilized will expire based on the state statutes.

Accounting for uncertain tax positions

The Company recognizes the benefit of a tax position only after determining that the relevant tax authority would more likely than not sustain the position following an audit. For tax positions meeting the more-likely-than-not threshold, the amount recognized in the financial statements is the largest benefit that has a greater than 50% likelihood of being realized upon ultimate settlement with the relevant tax authority. Interest and penalties, if incurred, are recognized in the statement of income. The Company has no unrecognized tax positions at March 31, 2022 and March 31, 2021.

The tax years of 2018 through 2020 remain subject to examination by the taxing authorities.

NOTE R - COMMITMENTS AND CONTINGENCIES

Contingencies

- a) **Russel Hawkins Vs Granules Pharmaceuticals, Inc:** A case was filed on behalf of plaintiff, Russel Hawkins. Plaintiff alleges that he was prescribed Metformin in 2017 and after 2 years he was diagnosed with multiple Myeloma in September 2019 causing his kidneys to fail. Plaintiff's counsel agreed that the case should be voluntarily withdrawn by his client. Granules Pharmaceuticals, Inc is awaiting voluntary dismissal of the case.
- b) **Tri Window Guys LLC Vs Granules Pharmaceuticals, Inc.:** The breach of contract matter arised out of a March 13, 2019 construction agreement between plaintiff, Tri Window Guys, LLC ("TWG") and Granules Pharmaceuticals, Inc. ("GPI"). TWG has also set forth tortious interference and fraudulent inducement claims. Defendants, GPI, Karthikeyan Kumarasamy and Vijay Ramanavarapu, have answered Plaintiff's first amended complaint, filed counterclaims and filed a third-party complaint. Defendants have propounded written discovery demands upon TWG, which are not yet due. GPI Management is aggressively defending this action and as indicated above has filed both counterclaims and third party claims relative to the contract and construction at issue. The Court dismissed company's petition in part and the hearing will be scheduled. The company has filed another suit against TWG in Virginia.
- c) **United States Food & Drug Administration (USFDA) Vs Granules Pharmaceuticals Inc.:** During the year ended March 2020, the Company received a class action suit from a plaintiff stating that one of the products of the Company – Metformin had a carcinogenic element. However, the USFDA obtained test results from the Company and issued a clean report. As of March 31, 2022, the litigation is active. The legal attorney is unable to state that an outcome unfavorable to the Company is either probable or remote, nor they are in a position to provide an estimate of the amount or range of potential loss in the event of an unfavorable outcome.

NOTE S - RELATED PARTY TRANSACTIONS

A. List of related parties with whom transactions have taken place:

No	Name of the party	Nature of relationship
1	Granules India Limited	Parent company
2	Granules USA Inc.	Affiliate company

B. The Company had transactions in the ordinary course of business with the following related parties:

	March 31, 2022	March 31, 2021
Granules India Limited		
<i>Transactions during the year ended</i>		
- Purchase of goods	71,181,073	57,974,336
- Conversion of borrowings into equity stock	-	16,000,000
- Expenses incurred by the Company	1,240,254	-
- Re-imbursement of expenses	29,539	37,065
<i>Balance</i>		
- Accounts payable	40,835,997	28,735,615
Granules USA Inc.		
<i>Transactions during the year ended</i>		
- Purchase of goods	1,110,317	26,735
- Re-imbursement of expenses	91,875	-

	March 31, 2022	March 31, 2021
- Expenses incurred by the Company	2,066	5,000
<i>Balance</i>		
- Accounts payable	97,394	7,625

NOTE T - STOCKHOLDER'S EQUITY

Common stock

The Company was incorporated on October 20, 2014, with an authorized capital of 10 ,000 shares of its common stock with a par value of \$1 per share. The Company's share capital amounting to \$4,183 and \$4,180 were issued and outstanding as of March 31, 2022, and March 31, 2021, respectively.

Voting

Each holder of common stock is entitled to one vote in respect of each share held by him/her in the records of the Company for all matters submitted to a vote.

Liquidation

In the event of liquidation of the Company, the holders of common stock shall be entitled to receive all of the remaining assets of the Company, after distribution of all preferential amounts, if any. Such amounts will be in proportion to the number of equity shares held by the shareholders.

NOTE U - REVENUE FROM CONTRACTS WITH CUSTOMERS

The following table disaggregates revenue by source of revenue:

	Year ended	
	March 31, 2022	March 31, 2021
Sale of goods	126,519,302	68,291,985
Total	126,519,302	68,291,985

The following table disaggregates revenue based on geographical regions.

	Year ended	
	March 31, 2022	March 31, 2021
United States	126,519,302	68,291,985
Total	126,519,302	68,291,985

The following table presents revenue disaggregated by timing of recognition:

	Year ended	
	March 31, 2022	March 31, 2021
Products transferred at a point in time	126,519,302	68,291,985
Total	126,519,302	68,291,985

Contract balances

The contract liabilities primarily relate to advance consideration received from customers for sale of products, for which revenue is recorded at a point in time and trade receivables are non-interest bearing and are generally on terms of 60 to 90 days.

	As at	
	March 31, 2022	March 31, 2021
Accounts receivable	16,980,688	9,918,874

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NOTE V - SUBSEQUENT EVENTS

The Company evaluated all events and transactions that occurred after March 31, 2022 up through June 22, 2022, the date the financial statements are issued. Based on the evaluation, there are no material effects of the same on the financial statement as on June 22, 2022, that would require recognition or disclosure.
